

Can Financial Markets Accurately Predict Bank of England Interest Rate Decisions?

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Contents Page

Executive summary	Page 3
Introduction	Page 4
Methodology	Page 5
Results	Page 6
Analysis	Page 7
Market Pricing Accuracy	Page 7
Asset Sensativity	Page 7
Surprise Events	Page 7
General Observations	Page 8
Limitations	Page 8
Conclusion	Page 9

Executive summary

This report investigates whether financial markets can accurately predict Bank of England (BoE) Monetary Policy Committee (MPC) interest rate decisions and how GBP/USD responds to these announcements. Twenty-five MPC meetings between June 2023 and June 2026 were analysed using market expectations published prior to each meeting and the corresponding movement in GBP/USD during the hour following the announcement.

The findings indicate that financial markets were highly effective at anticipating BoE interest rate decisions. Of the 25 meetings analysed, 23 decisions matched market expectations, representing an accuracy rate of approximately 92%. Only two meetings resulted in a monetary policy surprise: June 2023, where the Bank unexpectedly increased rates by 50 basis points instead of the expected 25 basis points, and September 2023, where markets anticipated a further 25 basis point increase but the Bank chose to hold rates.

Despite the high forecasting accuracy, GBP/USD reacted to both expected and unexpected decisions, suggesting that markets respond not only to the headline interest rate decision but also to accompanying guidance and expectations regarding future monetary policy. Overall, the findings support the view that financial markets price monetary policy expectations efficiently, while significant market reactions are largely concentrated around unexpected policy decisions.

Introduction

Monetary policy decisions made by the Bank of England are among the most influential events affecting UK financial markets. By adjusting the Bank Rate, the BoE seeks to achieve its inflation target while supporting sustainable economic growth. Changes in interest rates influence borrowing costs, consumer spending, investment decisions and capital flows, making these announcements closely monitored by investors worldwide.

Financial markets are inherently forward-looking. Rather than reacting solely to the announcement itself, market participants continuously incorporate economic data, inflation expectations and central bank communication into asset prices before policy decisions are released. As a result, it is often the difference between market expectations and the actual decision that generates significant price movements.

The foreign exchange market is particularly sensitive to monetary policy. Higher interest rates generally increase the attractiveness of a country's currency by offering higher returns on domestic assets, while lower rates typically reduce demand. Consequently, GBP/USD provides an appropriate measure for analysing market reactions to Bank of England announcements.

This report examines whether financial markets successfully anticipated Bank of England interest rate decisions between 2023 and 2026 and investigates how GBP/USD responded following each announcement.

Methodology

Time Period:

- June 2023 – June 2026
- 25 Monetary Policy Committee meetings analysed.

Events Analysed:

- Every scheduled Bank of England MPC interest rate announcement during the sample period.

Asset Tracked:

- GBP/USD exchange rate.

Data Sources:

- Interest rate expectations and outcomes obtained from Forex Factory.
- GBP/USD price data collected using TradingView.
- Price recorded at the official announcement time and one hour after the announcement.

Classification System:

Each meeting was classified according to whether the announced decision matched the market forecast.

- **Expected Decision** – Actual rate equaled the forecast.
- **Surprise Decision** – Actual rate differed from the forecast.

Percentage price change was calculated as:

$((\text{Price One Hour After Announcement} - \text{Price At Announcement}) / \text{Price At Announcement}) \times 100$

Results

(Figure 1)

Date	Expected	Actual	Asset	Price @ Announcement	Price @ Close (1h after announcement)	% change
Jun 22, 2023	+25bp Hike	+50bp Hike	GBP/USD	1.27482	1.27323	-0.124723
Aug 3, 2023	+25bp Hike	+25bp Hike	GBP/USD	1.26723	1.27187	0.366153
Sep 21, 2023	+25bp Hike	Hold	GBP/USD	1.22671	1.22961	0.236405
Nov 2, 2023	Hold	Hold	GBP/USD	1.22148	1.21791	-0.292268
Dec 14, 2023	Hold	Hold	GBP/USD	1.2727	1.27834	0.443152
Feb 1, 2024	Hold	Hold	GBP/USD	1.26589	1.2736	0.609058
Mar 21, 2024	Hold	Hold	GBP/USD	1.27355	1.26645	-0.557497
May 9, 2024	Hold	Hold	GBP/USD	1.25021	1.25142	0.096784
Jun 20, 2024	Hold	Hold	GBP/USD	1.26779	1.26633	-0.115161
Aug 1, 2024	-25bp cut	-25bp cut	GBP/USD	1.281	1.27538	-0.438720
Sep 19, 2024	Hold	Hold	GBP/USD	1.32391	1.32805	0.312710
Nov 7, 2024	-25bp cut	-25bp cut	GBP/USD	1.29711	1.29891	0.138770
Dec 19, 2024	Hold	Hold	GBP/USD	1.25913	1.25099	-0.646478
Feb 6, 2025	-25bp cut	-25bp cut	GBP/USD	1.23824	1.24415	0.477290
Mar 20, 2025	Hold	Hold	GBP/USD	1.29504	1.29645	0.108877
May 8, 2025	-25bp cut	-25bp cut	GBP/USD	1.33231	1.32657	-0.430831
Jun 19, 2025	Hold	Hold	GBP/USD	1.34398	1.34246	-0.113097
Aug 7, 2025	-25bp cut	-25bp cut	GBP/USD	1.34121	1.34296	0.130479
Sep 18, 2025	Hold	Hold	GBP/USD	1.36216	1.35528	-0.505080
Nov 6, 2025	Hold	Hold	GBP/USD	1.31	1.31222	0.169466
Dec 18, 2025	-25bp cut	-25bp cut	GBP/USD	1.33953	1.33803	-0.111980
Feb 5, 2026	Hold	Hold	GBP/USD	1.35817	1.35503	-0.231193
Mar 19, 2026	Hold	Hold	GBP/USD	1.32902	1.3368	0.585394
Apr 30, 2026	Hold	Hold	GBP/USD	1.35165	1.35774	0.450560
Jun 18, 2026	Hold	Hold	GBP/USD	1.32103	1.32208	0.079483

Analysis

Market Pricing Accuracy

The results suggest that financial markets were highly efficient in pricing Bank of England monetary policy decisions. Market expectations correctly predicted 23 of the 25 MPC meetings, producing an overall forecasting accuracy of approximately 92%.

This indicates that investors generally possess sufficient information before each meeting to anticipate policy decisions through economic indicators, central bank communication and market pricing.

Asset Sensitivity

Although the majority of decisions were fully anticipated, GBP/USD continued to exhibit noticeable price movements following announcements.

This suggests that foreign exchange markets react not only to the interest rate decision itself but also to the accompanying policy statement and investors' reassessment of future monetary policy. Even when rates remained unchanged, comments regarding inflation, economic growth or future policy direction often generated volatility within GBP/USD.

Surprise Events

1. June 22, 2023

Expected

- 25 basis point rate increase.

Actual

- 50 basis point increase.

Why it mattered

- The Bank of England delivered a larger-than-expected rate increase in response to persistent inflationary pressures.

Market Reaction

- GBP/USD fell approximately **0.12%** during the hour following the announcement. Although a larger rate increase would typically support sterling, the market reaction suggests investors rapidly reassessed future economic risks and policy expectations.

2. September 21, 2023

Expected

- 25 basis point increase.

Actual

- Rates unchanged.

Why it mattered

- Markets had largely priced in another increase following persistent inflation, making the decision to hold rates a notable surprise.

Market Reaction

- GBP/USD rose approximately **0.24%** during the following hour, reflecting a rapid reassessment of monetary policy expectations.

General Observations

Across the remaining 23 meetings, price reactions were generally smaller and mixed in direction. This supports the Efficient Market Hypothesis, whereby anticipated information is largely incorporated into asset prices before official announcements. Remaining price movements are likely explained by changes in forward guidance, voting splits and broader market sentiment rather than the headline interest rate decision itself.

Limitations

Several limitations should be acknowledged.

- Market expectations were obtained from publicly available forecasts.
- The study examines only GBP/USD and therefore does not capture reactions across other financial markets such as government bond yields or equity indices.
- Price movements were measured over a one-hour period following the announcement, meaning later market reactions were not considered.
- Other macroeconomic news, geopolitical developments and changes in global market sentiment may also have influenced GBP/USD during the observation window.
- The sample consists of 25 meetings, which limits the statistical significance of the findings.

Conclusion

This study investigated whether financial markets accurately anticipated Bank of England interest rate decisions between June 2023 and June 2026 using GBP/USD as the measure of market reaction.

The results demonstrate that markets correctly anticipated approximately 92% of MPC decisions, suggesting a high degree of pricing efficiency. Only two meetings produced genuine monetary policy surprises, highlighting the effectiveness of market expectations in forecasting central bank actions.

Although most decisions were expected, GBP/USD continued to experience short-term price movements following announcements. This suggests that investors respond not only to changes in interest rates but also to accompanying communication regarding future monetary policy.

Overall, the findings indicate that financial markets are generally successful at pricing Bank of England policy decisions, while the largest uncertainty and volatility arise when actual decisions differ from market expectations. The project also demonstrates the importance of expectations in financial markets and reinforces the role of central bank communication in influencing exchange rates.